

Appendix 1

In this Appendix underlining indicates new text and striking through indicates deleted text.

Some text that is not being amended is included for information only.



The DFSA Rulebook

General Module

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2.26 Operating a Representative Office

- 2.26.1** (1) In Rule 2.2.2 Operating a Representative Office means the marketing of one or more financial services or financial products, provided such services or products are those offered:
- (a) in a jurisdiction other than the DIFC; and
 - (b) by a related party of the Representative Office.
- (2) For the purposes of (1) and (4) 'marketing' means:
- (a) providing information on one or more financial products or financial services;
 - (b) engaging in Financial Promotions in relation to (a); or
 - (c) making introductions or referrals in connection with the offer of financial services or financial products;
- provided that such activities do not constitute:
- (d) Advising on Financial Products;
 - (e) Advising on Credit; or
 - (f) 'arranging' under Rules 2.9.1, 2.14.1, 2.19.1(1)(c) and 2.28.1(1)(a), including receiving and transmitting orders in relation to a financial product.
- (3) For the purposes of this Rule:
- (a) a 'financial product' means an Investment, a Credit Facility, a Deposit, a Profit Sharing Investment Account, a Contract of Insurance or, for the purposes of the prohibition in (4), a Crypto Token; and
 - (b) a 'related party' of a Representative Office means:
 - (i) the same Body Corporate as the Representative Office, including its head office or any other branch; and
 - (ii) a member of the same Group as the Body Corporate referred to in (i).
- (4) A Person must not Operate a Representative Office that markets:
- (a) a Crypto Token;
 - (b) an Investment relating to a Crypto Token; or
 - (c) a Financial Service relating to;

- (i) a Crypto Token; or
- (ii) an Investment relating to a Crypto Token.

Exclusions

- 2.26.2** An Authorised Firm other than a Representative Office does not Operate a Representative Office if it undertakes any activities of the kind described in Rule 2.26.1 that constitute marketing.
- 2.26.3** Any communication which amounts to marketing in respect of a financial service or financial product, which is issued by or on behalf of a government or non-commercial government entity, does not constitute marketing for the purposes of Rule 2.26.1.

Guidance

1. Refer to Guidance under REP section 1.3 for the scope of the activities which a Representative Office can conduct under its Licence.
2. Rule 2.26.1(4) prohibits the use of a Representative Office to market:
 - a. a Crypto Token or an Investment relating to a Crypto Token (such as a Derivative relating to a Crypto Token or a Unit of a Fund that invests in Crypto Tokens); or
 - b. a Financial Service relating to a Crypto Token or such an Investment.

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3A.2 Prohibitions relating to Crypto Tokens

Only Recognised Crypto Tokens to be used in the DIFC

- 3A.2.1** (1) A Person must not engage in any of the following activities in or from the DIFC in relation to a Crypto Token unless it is a Recognised Crypto Token:
- (a) carry on a Financial Service relating to the Crypto Token;
 - (b) make or approve a Financial Promotion relating to the Crypto Token;
 - (c) Offer to the Public the Crypto Token;
 - (d) carry on an activity referred to in (a), (b) or (c) in relation to a Fund that invests in the Crypto Token; or
 - (e) carry on an activity referred to in (a), (b) or (c) in respect of a Derivative or instrument relating to the Crypto Token.
- (2) The prohibition in (1)(a) does not apply to an Authorised Person to the extent that it Provides Custody of a Crypto Token.
- (3) The prohibition in (1)(d) does not apply in relation to a Fund if:
- (a) it is established or domiciled in the DIFC and is a Qualified Investor Fund;

- (b) it invests not more than 10% of the gross asset value of the Fund in Crypto Tokens that are not Recognised Crypto Tokens; and
- (c) its Fund Manager:
 - (i) provides Unitholders, upon request, with relevant information about the main characteristics of and risks associated with the investment in Crypto Tokens that are not Recognised Crypto Tokens; and
 - (ii) conducts daily valuations of the Fund's investments in Crypto Tokens that are not Recognised Crypto Tokens and keeps a record of those valuations.

Guidance

1. Rule 3A.2.1 prohibits activities from being carried on in relation to a Crypto Token unless the Crypto Token is a Recognised Crypto Token i.e. a Crypto Token the DFSA has recognised under section 3A.3 or 3A.4. Section 3A.3 sets out the procedures for applying for a Crypto Token to be a Recognised Crypto Token and the criteria that must be met for the DFSA to recognise a Crypto Token.
2. The prohibition against carrying on a Financial Service relating to an unrecognised Crypto Token does not apply to an Authorised Person that Provides Custody of a Crypto Token. For example, a Custodian may receive an 'airdrop' of Crypto Tokens for promotional purposes when the Crypto Tokens have not been recognised. Similarly, due to a fork which results in the splitting of blockchains a Custodian may find that it is holding Crypto Tokens that have not been recognised. The Custodian may therefore hold unrecognised Crypto Tokens without contravening the Rule.
3. Whether a Crypto Token remains recognised after a fork in the blockchain will depend on the effect of the fork on the existing Crypto Token. If new Crypto Tokens are created they may no longer be covered by an existing recognition. For that reason, an applicant should identify any proposed fork and its effect, so that recognition can cover this contingency.
4. The recognition of a Crypto Token by the DFSA does not cover any representation of the Crypto Token in the form of another Crypto Token, such as a wrapped token. Therefore, if a Person would like the representation of the Crypto Token also to be recognised in the DIFC, it should apply under Rule 3A.3.1.
5. The prohibition also applies in relation to Funds that invest in Crypto Tokens. An Authorised Firm is prohibited from managing, offering or promoting a Fund that invests in unrecognised Crypto Tokens except as specified in Rule 3A.2.1(3). This prohibition covers not only Funds that invest directly in unrecognised Crypto Tokens, but also those that have an exposure using derivatives or that track an index that includes unrecognised Crypto Tokens. It also applies to indirect investment in unrecognised Crypto Tokens such as by the use of Feeder Funds or Exchange Traded Funds (see Rule 3A.1.2). Similarly, an Authorised Firm that is Managing Assets may only provide discretionary management of a Crypto Token that is recognised.
6. The gross asset value of a Fund under Rule 3A.2.1(3)(b) should be calculated as the total value of the Fund Property, based on the most recent valuation under CIR Rule 8.4.1(1).
67. Crypto Tokens that are prohibited from being used in the DIFC, such as Privacy Tokens and Algorithmic Tokens, cannot be recognized by the DFSA (see Rule 3A.3.4(1)).
78. The Recognition of a Crypto Token under this chapter does not relieve an Authorised Person or any other Person from their responsibility to carry out proper due diligence on a Crypto Token before providing a Financial Service or carrying on any other activity relating to the Crypto Token.

9. The DFSA expects that the information about the main characteristics and risks referred to in Rule 3A.2.1(3)(c)(i) include information about:
 - a. the rights and obligations conferred by the Crypto Token;
 - b. trading history of the Crypto Token, including volumes and prices;
 - c. details of the Distributed Ledger Technology or other similar technology used; and
 - d. cybersecurity risks associated with the Crypto Token or its underlying technology.

Use of Privacy Tokens and Devices prohibited

3A.2.2 A Person must not in or from the DIFC:

- (a) carry on a Financial Service relating to a Privacy Token or that involves the use of a Privacy Device;
- (b) make or approve a Financial Promotion relating to a Privacy Token or Privacy Device; ~~or~~
- (c) Offer to the Public a Privacy Token; ~~;~~
- (d) carry on an activity referred to in (a), (b) or (c) in relation to a Fund that invests in a Privacy Token; or
- (e) carry on an activity referred to in (a), (b) or (c) in respect of a Derivative or Instrument relating to a Privacy Token.

Guidance

1. Privacy Tokens and Privacy Devices are typically used for two main purposes: to facilitate anonymity and to prevent the tracing of transactions. Anonymity hides the identity of a holder of a Crypto Token or the identity of two parties to a transaction on the blockchain, while non-traceability makes it difficult or impossible for third parties to follow the trail of a series of transactions. The use of Privacy Tokens or Privacy Devices is prohibited as they can facilitate money laundering, market abuse, fraud or other financial crime.
2. The definitions of Privacy Token and Privacy Device will apply to Crypto Tokens and devices that have features that are used or intended to be used for hiding, anonymising, obscuring or preventing the tracing of information, whether or not they are in fact used for that purpose. For example, some Crypto Tokens have features that can be turned on at the option of the user to hide or prevent the tracing of information. A Crypto Token that has such optional features, will be a Privacy Coin as defined and is prohibited from being used in the DIFC.

Use of Algorithmic Tokens prohibited

3A.2.3 A Person must not in or from the DIFC:

- (a) carry on a Financial Service relating to an Algorithmic Token;
- (b) make or approve a Financial Promotion relating to an Algorithmic Token; or
- (c) Offer to the Public an Algorithmic Token; ~~;~~
- (d) carry on an activity referred to in (a), (b) or (c) in relation to a Fund that invests in an Algorithmic Token; or

- (e) carry on an activity referred to in (a), (b) or (c) in respect of a Derivative or Instrument relating to a Algorithmic Token.

Guidance

Rule 3A.2.3 prohibits certain activities in the DIFC relating to Algorithmic Tokens i.e. Crypto Tokens that use an algorithm to increase or decrease the supply of the Crypto Token to stabilise their price or reduce volatility. This is because the functioning of these algorithms is often not transparent to users, markets or regulators and due to concerns about whether such algorithms function effectively. These factors make it difficult for investors to make informed decisions about the Crypto Token. In addition, attempts to stabilise the price of a Crypto Token (or any other Investment) by such means may be contrary to the market manipulation provisions in the Markets Law.

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3A.3 Recognition of a Crypto Token

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- 3A.3.4** (1) The DFSA may recognise a Crypto Token if it is satisfied that:
- (a) having regard to the matters in (2), the Crypto Token is suitable for use in the DIFC;
 - (b) it is not a Privacy Token or an Algorithmic Token; and
 - (c) for a Fiat Crypto Token, all of the requirements in (4) are met in respect of that Fiat Crypto Token (in addition to the criteria in (a) and (b) above).
- (2) The matters referred to in (1)(a) are:
- (a) the regulatory status of the Crypto Token in other jurisdictions, including whether it has been assessed or approved for use by a Regulator in another Recognised Jurisdiction;
 - (b) whether there is adequate transparency relating to the Crypto Token, including sufficient detail about its purpose, protocols, consensus mechanism, governance arrangements, founders, key persons, miners and significant holders;
 - (c) the size, liquidity and volatility of the market for the Crypto Token globally;
 - (d) the adequacy and suitability of the technology used in connection with the Crypto Token; and
 - (e) whether risks associated with the Crypto Token are adequately mitigated, including risks relating to governance, legal and regulatory issues, cybersecurity, money laundering, market abuse and other financial crime.
- (3) The DFSA may, in assessing the matters in (2), consider the cumulative effect of factors which, if taken individually, may be regarded as insufficient to give reasonable cause to doubt that the criteria in (1)(a) is satisfied.

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- (4) In the case of a Fiat Crypto Token, the additional criteria referred to in (1)(c) are that:
- (a) ~~information is published at least quarterly on the value and composition of the reserves backing the Crypto Token; the Crypto Token is able to maintain a stable price relative to the fiat currency it references;~~
 - (b) ~~the published information referred to in (a) is verified by a suitably qualified third-party professional who is independent of the issuer of the Crypto Token and any persons responsible for the Crypto Token;~~
 - (c) ~~the published information referred to in (a) demonstrates that the reserves:~~
 - (i) are at least equal in value to the notional value of outstanding Crypto Tokens in circulation (that value being calculated by multiplying the number of Crypto Tokens in circulation by the purported pegged fiat currency value);
 - (ii) ~~include not more than 20% in high quality liquid assets other than cash~~ are denominated in the reference currency;
 - (iii) ~~are denominated in the reference currency; and are held in assets that are likely to maintain their value, including during periods of stress, are highly liquid, are appropriately diversified and carry minimal credit risk;~~
 - (iv) are valued daily; and
 - (v) are held in segregated accounts with properly regulated banks or custodians in jurisdictions with regulation that is equivalent to the DFSA's regime and AML regulation that is equivalent to the standards set out in the FATF Recommendations;
 - (d) ~~the Crypto Token is able to maintain a stable price relative to the fiat currency it references; and~~
 - (e)(c) a person is clearly responsible and liable to investors for the Crypto Token;
 - (d) information demonstrating that the reserves meet the criteria in (b) is published at least monthly; and
 - (e) the published information referred to in (d) is verified by a suitably qualified third-party professional who is independent of the issuer of the Crypto Token and any persons responsible for the Crypto Token.
- (5) In assessing the equivalence of AML regulation under (4)(e)(b)(iv), the DFSA may consider, among other things, whether on the basis of reports by credible sources (as defined in AML Rule 6.1.3(2)), such as mutual evaluations, detailed assessment reports or follow-up reports, a jurisdiction:
- (a) has AML requirements that are consistent with the FATF Recommendations; and
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- (b) effectively implements those Recommendations.

Guidance

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6. Matters the DFSA will consider under Rule 3A.3.4(3)(4) include whether:
- a. ~~reserves are greater than the volume of Crypto Tokens in circulation as confirmed by published information that is verified by the suitably qualified third party professional~~
price volatility is generally maintained within one percent from the peg and there is minimal market risk associated with the Crypto Token;
 - b. information published about the reserves provides sufficient clarity about the quality of the assets and how they are held and segregated;
 - c. ~~reserves include not more than 20% in high quality liquid assets other than cash, and the reserves are denominated in the reference currency; and~~ reserve assets:
 - i. show historical evidence of relative price stability;
 - ii. can be converted easily and immediately into cash at little or no loss of value, taking into account relevant factors such as, degree of subordination, duration and market size;
 - iii. are appropriately diversified in such a way as to avoid undue reliance on any particular asset, issuer or risk factor; and
 - iv. are issued by a person with a high credit standing.
 - d. ~~the Crypto Token is able to maintain a stable price by reference to a fiat currency and price volatility is generally maintained within one percent from the peg and there is minimal market risk associated with the Crypto Token.~~

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14.1.1 The following Rules are subject to a Fixed Penalty Notice:

- (a) AMI Rules 8.2.9(1), 9.6.1, 9.6.3 and 9.6.4;
- (b) AML Rule 14.5.1;
- (c) AUD Rule 4.8.1;
- (d) CIR Rules 9.4.2(1), 9.6.2 and 15.1.10(1);
- (e) COB Rules 14.5.1(2)(b), 15.4.6(2) and 15.8.1(2)(b);
- (f) GEN Rules 8.6.2 and 11.8.12(1);
- (g) PIB Rules 2.3.8(1), 2.3.8(2), 6.13.7, 6.13.8, 10.3.2(3) and 10.4.2(3);
- (h) PIN Rules 6.5.1, 6.5.5, 6.5.7, 6.6.2(1), 7.2.3(1), 7.3.5, 8.5.2, 8.5.3 and 9.4.10; and
- (i) REC Rule 3.5.1.

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Fiat Crypto Token

A2.5.5 A Crypto Token is a Fiat Crypto Token if, to stabilise its price or reduce volatility in its price, the value of the Crypto Token purports to be determined, ~~in whole or in part,~~ by reference to a single fiat currency ~~or a combination of fiat currencies~~.

Guidance

1. A Fiat Crypto Token (also called a 'Fiat stablecoin') is a Crypto Token the value of which purports to be determined by reference to a fiat currency ~~or fiat currencies~~. Typically, the stablecoin purports to be backed by financial assets. The use of financial assets to back the Crypto Token is intended to stabilise its price or reduce volatility in its price.
2. An alternative mechanism for stabilising the price of a Crypto Token is the use of an algorithm, which increases or decreases the supply of the Crypto Token in response to changes in demand for the Crypto Token. GEN Rule 3A.2.3 prohibits the use of such a Token in the DIFC i.e. a Crypto Token which uses, or purports to use, an algorithm to stabilise its price. This is because of concerns about the lack of transparency relating to the functioning of such algorithms and also concerns about whether they are able to function effectively.
3. In addition to Fiat Crypto Tokens, other stablecoins exist where the value is determined by reference to other assets, such as gold or a commodity, or a basket of currencies. While they do not fall within the definition of a Fiat Crypto Token, they will be a Crypto Token unless they are an Investment, for example, a Derivative or a Unit of a Collective Investment Fund.